

ment.” They are also clamoring for “yield,” which is the bait luring so many investors to financial ruin in stocks and junk bonds. The setup is in place, and the trap is set. At the end of 1993, *The Wall Street Journal* gave a terrific description of the situation in an article that is reproduced on the next page.

REIT buying is not the only sign of the public’s continued faith in rising property values. Though commercial real estate has lagged recently, total home sales (not shown) were so persistent in 1994 that the 3.97 million homes sold approached the old record of 3.99 million set in 1978 just before the orthodox top. Sales in the last year and a half were spurred initially by fear of higher interest rates and lately by the wave ② rally in bonds that has allowed interest rates to decline a bit. This buying spree has probably satisfied all the buyers who had waited on the sidelines throughout the multi-year decline in interest rates, waiting until they were convinced that the bottom in rates had been reached. The post-1993 buying appears to be the last gasp of bull market sentiment in a trend of increasing optimism that began back in the 1940s.

Besides the public, who else is succumbing once again to the promised charms of property investment? The afterglow of the blind, orgasmic buying in REITs has finally enticed back into the game some “just say no” investors who were burned in the 1989-1991 collapse: professional fund managers. This group had turned cautious at the low and stoically waited on the sidelines during the entire rebound in REIT and home prices. Finally in early 1994, *The Wall Street Journal* reported that they were “biting the bullet and preparing to re-enter the market.” “Despite bruising experiences,” says the article, “pension funds today find that real estate’s fundamentals are too alluring to resist.”

Even those who recognize that overbuilding has taken place and that rising interest rates may be a problem nevertheless display boundless long term optimism. “Home builders are in a ‘festive’ mood,” says another article. “More than two-thirds believe single-family home sales [for 1995] will equal or top last year’s levels.” Writes one subscriber to *The Elliott Wave Theorist*, “I have recently (in February 1995) been receiving marketing from respectable newsletters [predicting] a major superbloom in real estate for the balance of the 1990s.” There were almost no such predictions at the 1990-1991 low, when they would have been temporarily useful. Today they are everywhere, thanks to the improved “fundamentals.” If you know markets, though, you know that “fundamentals” (see Chapter 12) *always* look “too good to resist” at the top.